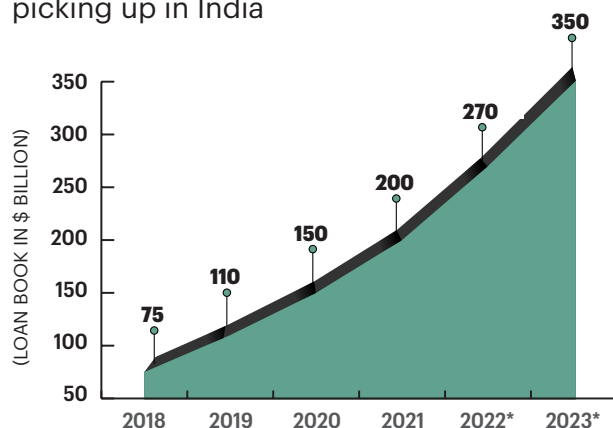


DIGITAL ALL THE WAY

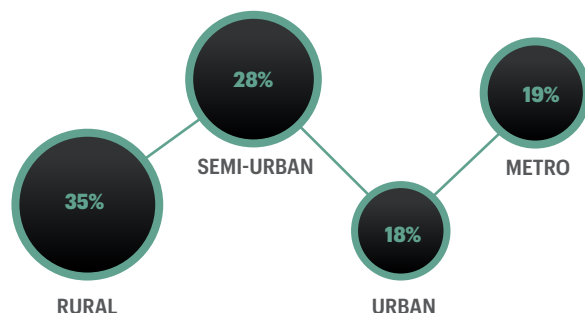
Lending through digital channels is picking up in India



*ESTIMATED FIGURES; FIGURES IN \$ BILLION
SOURCE EXPERIAN-INVEST INDIA STUDY

INDIA'S BANKING DIVIDE

NBFCs are targeting smaller geographies with a technology-led model



SOURCE RBI REPORT

GRAPHICS BY RAHUL SHARMA

It is not just their group's brand name and capital strength that new players like Godrej are using, but also the professional expertise and network. "Our first goal is to become the No. 1 financier in the Godrej Properties ecosystem... Godrej Capital [also] plans to introduce cash flow-based unsecured lending, which is basically business loans," says Shah. The group has a large ecosystem in the consumer products business, and the agri products business—through group entity Godrej Agrovet. It plans to expand into affordable housing next. "We will expand brick by brick, succeed in the existing geography, and go to the next," says Shah, adding that the group will focus on retail, its core strength.

The Piramal Group, with its roots in real estate, decided to plunge into the lending business a decade ago. The thesis was to enter the wholesale real estate lending business, which was a large opportunity then as very few banks were present in the space. Last October, the board of the group's flagship firm Piramal Enterprises Ltd (PEL) approved the demerger of the pharma business from PEL, and simplification of the corporate structure to house its two key businesses—pharma and financial services. PEL is in the process of demerging the pharma business and amalgamating PHL Fininvest, its existing NBFC, to create a listed NBFC in the wholesale lending space. PCHFL—that bought DHFL—will remain a 100 per cent subsidiary of PEL.

As for the Poonawalla Group, after acquiring Magma, it has discontinued its commercial assets business; instead, it is using Magma's network for consumer lending—personal loans, loans to professionals, machinery loans and medical equipment loans. "These are loans that are more in sync with our strategy of doing consumer and MSME lending," says Chaudhari.

A DIVERSIFIED BOOK

These acquisitions have helped the new players diversify their lending book. For instance, the Piramal Group's financial services business has a retail share of 36 per cent from nearly zero a few years ago. "We have started getting new business," says Sridharan. The group, with a loan book of ₹60,000 crore, is now betting on merchant loans. "Nobody has cracked it yet," says Sridharan, adding that nobody knows how to tap this market as though there are 63 million MSMEs, the credit bureaus have records of only 20 million. It is also looking at the under-penetrated used-car business, which, Sridharan says, could become bigger than the new car lending business, just as it happened in most global markets. According to available statistics, the lending penetration for used cars in India is around 20 per cent against 65 per cent for new cars. "Affordable housing and MSMEs will be